to determine the extent to which they are already reflected in the price of a given security:[38]

> *In most cases, if they are recognized at all, they tend to be overemphasized. We see the same influence constantly at work in the general market. The recurrent excesses of its advances and declines are due at bottom to the fact that, when values are determined chiefly by the outlook, the resultant judgments are not subject to any mathematical controls and are almost inevitably carried to the extremes.*

Graham suggested that the analyst treat the qualitative and quantitative elements thus: The analyst's conclusions "must rest upon the figures and upon established tests and standards," but they may be "completely vitiated by qualitative considerations of an opposite import."[39] Qualitative factors were important, "But whenever the commitment depends to a substantial degree upon these qualitative factors—whenever, that is, the price is considerably higher than the figures alone would justify—then the analytical basis of approval is lacking."[40] The analyst should be concerned primarily with values that are supported by facts and not with those that depend on expectations. This differentiated the security analyst from the speculator, whose success turned on his or her ability to guess the future, where the analyst sought not to profit from the future, but to guard against it. Graham wrote that the analyst viewed "the business future as a hazard which his conclusions must encounter rather than as the source of his vindication."[41] It was a telling statement, illustrating the extent to which Graham was a product of the 1929 stock market crash. It would take Graham's best student, Warren Buffett, to turn this advice on its head.

Notes

1. United States Government Printing Office. Washington. 1955. Available at http://www4.gsb.columbia.edu/filemgr?file_id=131668.
2. Benjamin Graham and David Dodd. *Security Analysis: The Classic 1934 Edition.* (New York: McGraw Hill) 1934.
3. Benjamin Graham. *The Intelligent Investor: A Book of Practical Counsel.* (New York: HarperBusiness) 2006. (First published 1949).
4. Benjamin Graham. "Inflated Treasuries and Deflated Stockholders." *Forbes*, 1932. Available at http://www.forbes.com/forbes/1999/1227/6415400a.html.
5. Benjamin Graham. "Should Rich but Losing Corporations Be Liquidated?" *Forbes*, 1932. Available at http://www.forbes.com/forbes/1999/1227/6415410a.html.
6. Graham and Dodd.
7. Graham, "Inflated Treasuries." 1932.
8. Ibid.